

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC, Complainant v. COSCO Shipping Lines Co., LTD, Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
REPLY BRIEF
(Public Version)**

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I. Introduction

This case arises from Respondent's systemic imposition of demurrage, detention, and related charges under conditions where compliance was impossible and where Respondent had no fair, transparent, or consistent policies for resolving disputes. In its Opposition Brief, Respondent attempts to sidestep these facts by offering selective quotations, unsupported assertions, and legal arguments that mischaracterize both the record and the Shipping Act.

This Reply demonstrates why Respondent's defenses fail. First, Respondent did not comply with the May 15, 2025 Discovery Order and still has not produced critical records, warranting adverse inferences. Second, Respondent's billing, waiver, and dispute-resolution practices were arbitrary and unreasonable under 46 U.S.C. § 41102(c). Third, Respondent's refusal to engage with Complainant's and its agents' good-faith efforts to obtain relief constitutes an unreasonable refusal to deal under § 41104(a)(10). Finally, the record establishes actual damages proximately caused by these violations, entitling Complainant to reparations.

Taken together, the evidence shows not an isolated lapse but a pattern of unreasonable practices that shifted the burdens of systemic congestion onto shippers while enabling Respondent to profit. The Presiding Officer should therefore find Respondent in violation of §§ 41102(c) and 41104(a)(10) and direct appropriate reparations.

II. Response to Respondent's Background Section in its Response Brief

A. Response to Respondent's Facts

Complainant briefly responds to the "Background" section of Respondent's Opposition Brief, which contains multiple inaccurate statements of fact, unsupported assertions, and new allegations that lack any citation to the record. These misstatements should be disregarded in favor of the actual evidence presented.

First, Respondent's assertion that it "did not have a service contract with Laufer and so, like Supply Source, there was no direct contractual relationship between COSCO and Laufer" is unsupported. (Opp. p. 3). This claim appears nowhere in Respondent's Proposed Findings of Fact, and Respondent cites no evidence to substantiate it in its Opposition Brief. The record in fact shows the opposite. Numerous exhibits in Complainant's appendix contain demurrage, detention, and per diem invoices issued by Respondent directly to Laufer, as well as records of payments received from Laufer by Respondent. (CX_000032–000152; CX_002273–002276). These transactions demonstrate that Respondent and Laufer maintained a direct commercial relationship in connection with the shipments at issue.

Second, Respondent's effort to link the imposition of the Charges to Supply Source's alleged financial decline rests entirely on statements from a declaration filed in a separate bankruptcy proceeding by Thomas Studebaker, Supply Source's Chief *Restructuring* Officer. (Opp. p. 4) (emphasis added). Respondent made no effort during discovery, whether through written requests or by deposing Mr. Studebaker, to test or substantiate these statements, let alone connect them to the actual reasons Impact Products and Safety Zone could not pick up or return the Relevant Containers within the allotted free time. The statements are therefore untested and do nothing to establish the cause of any alleged delay.

Moreover, Respondent selectively quotes from the Studebaker Declaration while omitting key language. In fact, the declaration states that the "Debtors were forced to enter into a number of agreements for additional storage space" to handle excess inventory by the end of 2021. RX_000252 (Studebaker Declaration, ¶ 37). This undercuts Respondent's insinuation that the Complainant's inability to retrieve the Relevant Containers was due to a lack of storage capacity and further illustrates that Respondent's portrayal of these events is incomplete and misleading.

Respondent further tries to bolster its unfounded narrative by pointing to a handful of invoices for the Relevant Containers that include “pre-pull” charges. Yet Respondent never pursued discovery on these charges—neither through written interrogatories nor by questioning Complainant’s corporate representative, Mr. Hallett, about them. Having chosen not to develop the record on this point, Respondent cannot now ask the Presiding Officer to accept its assumption that these charges evidence an intentional effort to “slow the movement of cargo.” (Opp. p. 4). That assertion is pure speculation, wholly unsupported by admissible evidence, and should be disregarded.

Third and lastly, Respondent’s claim that “there is no evidence” explaining why any particular container was picked up or returned late is both false and misleading. The record contains multiple sources of such evidence:

- Several invoices produced by Complainant expressly attribute the Charges, in part, to port congestion. (CX_000836, 000867, 000898, 000969).
- Email communications detail the specific circumstances, including severe congestion and equipment shortages, preventing Impact Products, Safety Zone, and Laufer from picking up or returning the Relevant Containers within free time. (CX_002182–97).
- Respondent’s own spreadsheet (CX_002277–78) shows that certain detention charges for the Relevant Containers were waived, confirming that Laufer—or the drayage providers engaged to handle pickup and return of the containers—acting on behalf of Impact Products/Safety Zone, requested relief on those shipments. Yet Respondent produced only a handful of records, none of which relate to the Charges identified in the Amended Damages Spreadsheet. (CX_000019–25; 002280–98).

This evidence directly contradicts Respondent’s assertion and shows that the delays were caused by extraordinary, industry-wide conditions during 2021–2022, not by any lack of diligence by Impact Products and Safety Zone or Laufer. Moreover, the existence of partial waivers in Respondent’s own records confirms that Complainant’s predecessors, acting through Laufer and

the drayage providers used, did in fact seek relief for at least some of the charges related to the Relevant Containers.

B. Response to Respondent's Procedural Background

To briefly address Respondent's mischaracterization of the procedural history: while much of this section is accurate, Respondent's account omits key context. With respect to Respondent's motion for partial summary judgment, Respondent suggests that Complainant "declined to voluntarily withdraw" the shipments at issue after being shown "dispositive" case law, implying a flat refusal to engage. (Opp. pp. 6–7). In fact, Complainant provided its own supporting authority, explained in detail why it believed a motion for partial summary judgment was premature, and advised that further discovery was necessary to fully assess jurisdiction over the specific containers. This was a good-faith legal disagreement, not a refusal to consider Respondent's position.

Further, Respondent's claim that there was merely a "time error" in the production of tariff provisions is inaccurate and minimizes the significance of its discovery failures. (Opp. p. 7). The issue was not a clerical mistake. It was Respondent's failure to produce the applicable demurrage and detention policies for the relevant 2021–2022 period, despite being compelled to do so by the Former Presiding Officer's May 15, 2025 Order and having over three months of discovery to comply.

Respondent also omits that it acknowledged (only in a footnote) that "there may be one or two invoices that either do not exist or could not be retrieved." (Opp. p. 15, fn. 7). This admission came only after the Presiding Officer raised the issue at the July 8, 2025 status hearing, nearly a month after Complainant's Opening Brief was filed. Respondent never proactively disclosed this to Complainant. These omissions go directly to the adequacy and completeness of Respondent's

document production, and they underscore why Complainant was required to file a Supplemental Brief.

III. Argument

A. Adverse Inferences Against Respondent Are Warranted Because It Did Not Fully Complied With the May 15, 2025 Discovery Order

Respondent's portrayal of its discovery conduct glosses over a clear record of noncompliance. The Former Presiding Officer's May 15, 2025 Order compelled production of demurrage and detention policies for the 2021–2022 period. (Doc. 51, p. 7). Respondent only produced its *public* tariffs and did not produce them until July 10, 2025, nearly a month after Complainant had filed its Opening Brief, and only after the Presiding Officer convened a status conference to address the deficiencies identified in the Opening Brief. (CX_002437–002669).

At the July 8 status conference, the Presiding Officer identified two specific discovery gaps raised in Complainant's Opening Brief. First, Respondent had failed to produce numerous demurrage invoices for the Relevant Containers. Second, Respondent's production included a spreadsheet noting that some Charges were partially waived, but it did not include *all* the underlying records that explained the basis for those waivers. In other words, Respondent provided only summary notations without the supporting documentation needed to test or verify them. These were not harmless oversights but material discovery failures that deprived Complainant of critical evidence and forced unnecessary supplemental briefing.

Only at that conference did Respondent, for the first time, claim that some demurrage invoices had been “issued by marine terminals” and were therefore not in its possession. (Opp. p. 18, fn. 9). Even if that assertion were true, Respondent offers no explanation for why it waited until July 8 to disclose it, nor has it described any steps taken to obtain the invoices, despite being compelled to produce all records related to the Charges from which it profited. (Doc. 51, pp. 4–5).

Even more telling, Respondent has never explained how it was able to compile the detailed data in the spreadsheet it produced (CX_002273–76)—including the COSCO DEM column identifying the demurrage Charges issued by Respondent, the Laufer Invoice column showing the exact amount Laufer paid, and the Notes/Remarks column stating that the terminal collected payment on COSCO’s behalf—while simultaneously claiming it lacks the invoices themselves. Such specific, transaction-level information does not simply materialize out of thin air.

This is not an isolated lapse. Respondent concedes “there may be one or two invoices that either do not exist or could not be retrieved” (Opp. p. 15, fn. 7), but offers no account of what steps were taken to locate them. The same evasiveness applies to the waiver records. Despite being asked for the documents explaining why certain charges were partially waived (CX_002280), Respondent did not produce *all* the requested information, even though its own spreadsheet (CX_002278) shows those waivers occurred. Instead, it retreats to the blanket assertion that it has produced everything in its possession, a claim that if credited would invite parties to sidestep discovery orders simply by disclaiming possession without offering proof.

These omissions were both substantial and prejudicial. The late disclosures at the July 8 status conference and the subsequent July 10 document production forced Complainant to review and address significant new materials long after its Opening Brief had been filed. Complainant was required to submit a Supplemental Brief to confront evidence that should have been produced months earlier under the May 15, 2025 Order. Even now, Respondent has not fully produced all of the missing documents and has offered no meaningful explanation for its failure to do so, despite being compelled to produce them. This is precisely the type of discovery misconduct that warrants adverse inferences: it has deprived Complainant of a fair opportunity to prepare its case and

continues to reward Respondent for withholding critical evidence, much of which remains unproduced even now.

1. Tariffs/Demurrage and Detention Policies

Respondent's handling of its demurrage and detention policies reveals not just a discovery lapse, but an absence of any transparent rules governing how charges are reduced or waived. In its Opposition, Respondent avoids taking responsibility for failing to produce the relevant demurrage and detention policies it was compelled to provide pursuant to the May 15, 2025 Order. Instead, it insists that the demurrage and detention tariffs it produced, published in 2024 (CX_002300–29), somehow encompassed all operative terms for its tariffs during the relevant period, 2021 and 2022. (Opp. p. 14). That is not accurate. As shown in Complainant's Supplemental Brief, and ignored in Respondent's Opposition, during at least 2020, 2021, and until August/September 2022, Respondent's tariffs contained no instructions for disputing demurrage or detention charges: no contact information, no deadlines, no evidentiary requirements, and no criteria for granting waivers or reductions. (CX_002437–002669).

Respondent further claims these *public* tariffs function as its internal policies for deciding when to waive or reduce charges. But the text of the tariffs merely lists procedural steps (e.g., who to contact, what documentation to submit) and says nothing about what reasons Respondent deems acceptable for granting or denying relief (*see, e.g.*, CX_002566). Without substantive guidelines, customers are left entirely at Respondent's discretion.

Respondent now states that no such internal criteria exist and vaguely asserts that it “follow(s) to the best of its ability the regulations and precedents of the FMC.” (Opp. p. 15). If true, that is deeply troubling: it would mean Respondent's decisions to waive or reduce demurrage and detention charges are made without any objective, written standards—leaving Respondent's customers vulnerable to arbitrary and inconsistent treatment.

2. Respondent Invoices / Invoices of Third Parties

Respondent claims it produced all demurrage and detention invoices it issued for the shipments identified by Complainant. Yet it concedes that “one or two” such invoices may be missing because they either do not exist or could not be retrieved—without identifying which invoices are missing, what efforts were made to locate them, or why they could not be obtained. (Opp. p. 15, fn. 7). This vague admission leaves the Presiding Officer, and Complainant, guessing.

From Respondent’s July 10 supplemental production, Complainant is aware of only one missing invoice—CCLU7255915. (CX_002433). The one identified missing invoice is no minor omission: it reflects a demurrage charge of \$4,455.00 that Respondent billed to Laufer (CX_002273). This withholding of critical, relevant evidence, coupled with Respondent’s refusal to specify what else it failed to produce, is exactly the type of conduct that warrants adverse inferences.

Next, Respondent’s Opposition repeats the assertion that it never received, and therefore could not produce, demurrage invoices issued by marine terminals that collected both terminal and Respondent charges.¹ (Opp. p. 16–18). This contention is untenable. As shown in Complainant’s Exhibit 12, Respondent’s own spreadsheet produced during discovery shows Respondent had detailed, container-specific records reflecting the amount of Respondent’s demurrage it invoiced Laufer (COSCO DEM column), the amount paid by Laufer (Laufer Invoice column), and notations that the “terminal collect[ed] [these charges] on behalf of COSCO.” (CX_002272–76). That level of specificity could not have been generated without access to underlying transactional data, whether from the invoices themselves or equivalent internal records. Respondent’s claim that its “visibility” was limited to the remitted amounts is further belied by the fact that it differentiated

¹ The specific demurrage invoices that Respondent failed to produce are identified on page 4 of Complainant’s Supplemental Brief and pages 9–10 of its Opening Brief.

Respondent's charges from terminal charges and tracked them against individual containers. *See id.*

According to its corporate representative, Mr. Takase, "the COSCO tariff, the demurrage rate includes the terminal's own demurrage or storage tariff to COSCO per our agreement for storage rates that are ... against each container, and then in addition, the balance of that charge on our end is for the container usage. So that combined is our import demurrage rate." (CX_001363). In other words, *all* of Respondent's demurrage invoices comprised both a terminal portion and a Respondent portion. Yet, Respondent's story now is that some of these invoices were in its possession and collected by Respondent, while others, despite involving the same Respondent charges, were entirely inaccessible to it. (Opp. p. 16–19). That explanation is not just implausible; it is unsupported by any documentary evidence.

It also ignores the fact that "possession, custody, or control" under discovery rules extends to documents a party has the legal right or practical ability to obtain from a third party with whom it has a business relationship. *See, e.g., In re Teligent, Inc.*, 358 B.R. 45, 60 (Bankr. S.D.N.Y. 2006); *In re Barnwell Enters. Ltd*, 265 F. Supp. 3d 1, 16 (D.D.C. 2017). Respondent had ongoing billing arrangements with these terminals, agreements that likely governed the handling and sharing of invoices. (CX_001363). Yet Respondent offered no concrete explanation for why it could not obtain the missing invoices from its terminal partners (Opp. pp. 16–18), despite having billing arrangements with those terminals and being compelled under the May 15, 2025 Order to produce all records related to the Charges from which it profited.

Finally, Respondent argues that even if it had withheld the invoices (which it denies), that would not justify adverse inferences because: (1) producing them now would not have enabled Complainant to dispute the Charges when originally issued; (2) no invoices were sent directly to

Complainant; (3) to Respondent's knowledge, all invoices were sent to Laufer or truckers retained by Complainant/Laufer; and (4) Complainant has therefore been in "constructive possession" of the invoices and could have obtained them from Laufer under the assignment agreement or by subpoenaing Laufer or the terminals. (Opp. pp. 18–19).

This argument fails for multiple reasons. First, Laufer has already produced all responsive records in its possession, and those materials appear in Complainant's Appendix exhibits. Second, the case is against Respondent, not Laufer or the terminals, and the invoices in question contained Respondent's *own* demurrage, detention, and per diem charges. The May 15, 2025 Order required *Respondent* to produce these documents, and Respondent's ongoing billing arrangements with the terminals gave it both the contractual right and practical ability to obtain them. Third, the invoices are probative regardless of whether they could have been disputed at the time. They bear directly on whether Laufer and the drayage providers used, acting on Impact Product's and Safety Zone's behalf, received sufficient information to dispute the Charges, and whether Respondent maintained consistent procedures for assessing, reviewing, and resolving such disputes.

3. Documentation of Waivers

Respondent insists it produced all documents relating to the partially waived charges identified in its own spreadsheet, which marked certain charges for the Relevant Containers as "waived." (CX_002277–78). In reality, Respondent produced only limited records for some charges and none for others. And even the records it did produce shed no light on why certain charges were waived while others, on the very same containers, were left intact. The absence of such explanations demonstrates the arbitrariness of Respondent's waiver decisions and supports adverse inferences tailored to the missing evidence.

Out of the twelve entries in Respondent's "waiver spreadsheet," only four concern the Relevant Containers identified in Complainant's Amended Damages Spreadsheet:

CSNU7785488, CSNU6608955, BSIU9552230, and BMOU4494813. (CX_002277–78). Complainant specifically requested the underlying records showing the basis for these waivers. (CX_002280). Yet Respondent produced only the detention invoices waived for CSNU7785488 and CSNU6608955, along with an email exchange indicating that *some* of the charges for BSIU9552230 and BMOU4494813 would be waived. More importantly, Respondent produced no records explaining why it chose to waive only detention charges for CSNU7785488 and CSNU6608955, while leaving demurrage in place. A bare notation that charges were “written off” is not evidence of a reasoned process—it is the absence of one. (CX_002277–78). Nor did Respondent submit a declaration from a knowledgeable witness to explain what standards, if any, guided its decisions.

Respondent’s attempt to excuse this gap by claiming its ESI searches came up empty is equally unconvincing. (Opp. p. 21). It provides no detail on what custodians were searched, what search terms were used, what systems were reviewed, or what efforts were undertaken. (*Id.*). In its Opposition Brief, Respondent also admits that these waivers occurred. (*Id.*) That admission necessarily establishes that Laufer and the drayage providers used, acting on behalf of Impact Products and Safety Zone, disputed and requested relief from the charges outlined in the Amended Damages Spreadsheet. There is no credible basis to assume Respondent simply forgave demurrage and detention charges voluntarily. Indeed, Complainant would not have filed this action if that were the case. Respondent’s own demurrage and detention tariffs confirm that a charge may only be waived or reduced if the customer disputes it. (*See, e.g.,* CX_002566).

Respondent’s reliance on *Access One Transport, Inc. v. Cosco Shipping Lines Co. Ltd.*, 2025 WL 1675843, at *20 (FMC Docket No. 24-13, ALJ ID June 6, 2025), is misplaced. In that case, the Presiding Officer held that Respondent’s cancellation of detention charges for *some*

containers did not establish that detention charges for *all containers* on a given date were unjust and unreasonable under § 41102(c). The reasoning was that partial cancellations, standing alone, were insufficient to prove systemic unjust and unreasonable conduct. Importantly, the decision did not involve or address adverse inferences. Rather, it concerned whether partial cancellations alone could prove systemic unreasonableness.

This case presents a different situation. Complainant is not asking the Presiding Officer to infer that all Charges were unjust and unreasonable simply because some were waived. Instead, Complainant seeks narrow, container-specific adverse inferences concerning CSNU7785488, CSNU6608955, BSIU9552230, and BMOU4494813, containers Respondent itself identified in its waiver spreadsheet.

Unlike in *Access One*, the issue here is Respondent's failure to produce the records explaining the basis for these partial waivers, despite a discovery order compelling them to do so. That failure warrants adverse inferences tailored to the missing evidence—namely, that Laufer and the drayage providers used, on behalf of Impact Products and Safety Zone, disputed the Charges on these containers, requested that they be reduced or waived, and that Respondent arbitrarily denied those requests in part without a clear process or justification. The withheld waiver records would also have corroborated Complainant's position that returning containers within free time was infeasible due to widespread port congestion and chassis shortages.

Further, Complainant seeks an additional, limited inference flowing from Respondent's own admission that it waived certain Charges. The fact that these Charges were waived necessarily implies that Laufer, acting on behalf of Impact Products and Safety Zone, disputed and requested waiver or reduction of at least some of the Charges referenced in the Amended Damages Spreadsheet. Yet Respondent continues to deny that Laufer or Impact Products/Safety Zone ever

disputed *any* Charges at all. There is nothing in the record, nor any explanation from Respondent, suggesting that it voluntarily waived these Charges absent a dispute.

4. Summary

Complainant therefore renews its request that the Presiding Officer draw adverse factual inferences against Respondent. Where Respondent failed to produce the demurrage invoices it issued to Laufer, the missing records support the inference that Respondent provided no clear or consistent process for disputing those Charges. In particular, the records would have shown that Respondent had no basic dispute resolution guidelines: they contained no identification of who at Respondent should be contacted, no deadlines for filing disputes, and no requirements describing what evidence had to be provided. As a result, customers were left without any meaningful avenue to contest improper Charges.

Where Respondent failed to produce the underlying documentation explaining its waiver decisions, the missing records would have confirmed that Laufer and the drayage companies used, acting on behalf of Impact Products and Safety Zone, disputed and requested reductions or waivers of specific demurrage and detention Charges. They further would have shown that Respondent, without explanation, only partially waived detention charges while leaving demurrage charges intact. These missing records also would have corroborated Complainant's position that returning containers within free time was infeasible due to widespread port congestion and chassis shortages.

Finally, the absence of any written demurrage, detention, or per diem policies during the Relevant Period supports the inference that Respondent had no objective or consistent criteria for determining when to waive or reduce demurrage or detention charges. Instead, its decisions were arbitrary, inconsistent, and lacking in transparency. Drawing such adverse inferences is both appropriate and necessary to prevent Respondent's discovery misconduct from prejudicing Complainant and to ensure this proceeding is adjudicated fairly on the merits.

B. Respondent's practices were unreasonable under 46 U.S.C. § 41102(c)²

1. Complainant Has Proven Unreasonable Charges Under 46 U.S.C. § 41102(c)

Respondent argues that Complainant has failed to meet its burden of showing that Respondent's practices were unjust and unreasonable under § 41102(c), because recent caselaw requires a fact-specific, container-by-container analysis, and that the absence of such shipment-specific proof is fatal. (Opp. pp. 26–36, fn. 15). According to Respondent, Complainant must demonstrate for every container, on every charged day, both (1) that it could not be picked up or returned for reasons outside the shipper's control, and (2) that the charge for that day did not serve to incentivize movement—proof that, Respondent claims, Complainant has not provided. (Opp. pp. 30–31).

Respondent relies heavily on *Evergreen Shipping Agency (Am.) Corp. v. FMC*, 106 F.4th 1113 (D.C. Cir. 2024), which emphasized that whether a particular charge is unreasonable requires consideration of all relevant facts for the specific container at issue. (Opp. p. 28–29). In *Evergreen Shipping*, the D.C. Circuit underscored the “incentive principle,” reasoning that detention charges are deemed reasonable when they serve their intended purpose of promoting freight fluidity by pressing the prompt return of equipment. The Court further explained that charges imposed when a container cannot be returned are likely to be found unreasonable. *See Evergreen Shipping*, 106 F.4th at 1116.

But in attempting to correct what it viewed as a logical flaw in the FMC's reasoning, the Court introduced one of its own. It suggested that detention imposed during a port closure

² Respondent effectively concedes the first three elements necessary to establish a violation of 46 U.S.C. § 41102(c) in this case: (1) that it is an ocean common carrier, (2) that the alleged acts and omissions occurred on a normal, customary, and continuous basis, and (3) that the practices at issue related to or were connected with receiving, handling, storing, or delivering property. Respondent does not contest these elements in its Opposition Brief. Accordingly, Complainant does not address them again here, but has already fully briefed them in its Opening Brief at pages 12–15.

announced in advance could “heighten” the incentive to return equipment on time. *Id.* at 1118. That conclusion disregards the practical reality of 2021–2022, when unprecedented port congestion and nationwide chassis shortages made it infeasible for shippers to retrieve or return containers within the allotted free time. (CPFF ¶¶ 40–48, 55–57; RPFF ¶¶ 44–45). In such conditions, detention charges levied on days when return was physically impossible did not serve as heightened incentives—they served no incentivizing purpose at all.

On remand from *Evergreen Shipping*, Commissioner Maffei’s concurrence underscores this point. *See TCW, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Service Agreement Respondents*, FMC Docket No. 1966(I), 2025 WL 516256, at *11 (Feb. 13, 2025). He explained that the flaw in the respondent’s position is its assumption that detention operates like “rent.” Detention is not rent; it is a fee designed to promote movement of equipment. *Id.* As Commissioner Maffei warned, adopting Respondent’s view would lead to “absurd result(s),” such as imposing weeks of detention during a port closure caused by a labor dispute or natural disaster, even when shippers stood ready and willing to return equipment but physically could not. *Id.* In each of those situations, he noted, such fees “become meaningless where the parties do not have reciprocal risks and responsibilities incentivizing cargo fluidity.” *Id.*

The same absurdity occurred here. During the severe congestion and equipment shortages of 2021–2022, customers like Laufer, the drayage providers used, and Impact Products/Safety Zone could not retrieve or return containers within the allotted free time despite diligent efforts. (CPFF ¶¶ 40–48, 55–57; RPFF ¶¶ 44–45). This was not speculation. The Commission itself has documented these conditions (CPFF ¶¶ 40–43, 45; RPFF ¶¶ 44–45); Complainant submitted emails and photographs showing the magnitude of congestion (CX_002182–97); and other FMC proceedings have recognized the same systemic obstacles. *See, e.g., Visual Comfort & Co. v.*

COSCO Shipping Lines Co., Ltd., FMC Docket No. 24-01 (Doc. 10, Verified Amended Complaint); *Access One Transport, Inc. v. COSCO Shipping Lines Co., Ltd.*, FMC Docket 24-13, 2025 WL 1675843, at *25 (Doc. 52, June 6, 2025) (“[I]t appears at least as likely that the locations Respondent designated for the return of containers simply ran out of room due to the widespread, ‘extreme’ congestion”).

Yet despite this overwhelming evidence, Respondent continued to impose demurrage, detention and per diem charges that served no incentivizing purpose and functioned solely as penalties. Commissioner Maffei’s concurrence confirms that this is exactly the outcome the Interpretive Rule was intended to prevent.

The Commission’s recent decisions requiring detailed, shipment-by-shipment, day-by-day proof for each assessed charge elevates Complainant’s burden of proof beyond established Commission precedent. That approach is inconsistent with the Commission’s long-standing rule that a complainant need only show its allegations are more probable than not. *See OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG & Hamburg Sud N. Am., Inc.*, FMC Docket No. 21-11, 2023 WL 3969857, at *20 (ALJ June 7, 2023); *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, FMC Docket No. 15-04, 2021 WL 3732849, at *3–4 (FMC Aug. 18, 2021). The Commission has further recognized that it is appropriate to draw inferences from certain facts when direct evidence is not available, and circumstantial evidence may even be sufficient. *See OJ Commerce*, 2023 WL 3969857 at *20; *Waterman Steamship Corp. v. General Foundries, Inc.*, FMC Docket No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994).

Here, Complainant has provided more than sufficient circumstantial evidence to demonstrate that Respondent’s Charges were unreasonable. The record includes invoices,

communications and photographs documenting widespread congestion and chassis shortages that made timely retrieval and return of the Relevant Containers impossible, despite Complainant's best efforts. (CPFF ¶ 47; CX_000836, 000867, 000898, 000969). Deposition testimony from Respondent's corporate representative further confirmed Respondent's awareness of these systemic barriers and their impact on its operations. (*Id.* ¶¶ 48–49). At the same time, throughout most of the Relevant Period, Respondent's demurrage invoices and its demurrage/detention public tariffs omitted critical dispute-resolution information, leaving customers without a meaningful way to contest charges. (*Id.* ¶¶ 27–28, 59, 70–71; CX_002437–002669). Most tellingly, Respondent lacked any written demurrage or detention policies during the Relevant Period, confirming it exercised unfettered discretion in assessing hundreds of thousands of dollars in charges. (*See Opp.* p. 15).

Still, despite knowing that congestion and equipment shortages made compliance impossible, and despite lacking any written policies or fair dispute-resolution processes, Respondent continued to levy hundreds of thousands of dollars in charges on Impact Products and Safety Zone, through Laufer, during the Relevant Period—turning systemic disruption into a source of profit. (CPFF ¶¶ 27–31, 76–81). When combined with the Commission's own recognition that during this time “U.S. exporters and importers dealt with supply chain challenges, congestion, significant demurrage and detention charges, and a lack of appointments, equipment, and vessel space” (CX_002152), the record more than meets Complainant's burden under § 41102(c) to show that Respondent's practices were not just and reasonable.

2. Complainant's Arguments Concerning Respondent's Practices Fall Squarely Within the Scope of the Complaint

Respondent contends that Complainant's arguments constitute “newly-concocted claims” not raised in the Complaint and therefore fall “outside the Presiding Officer's authority.” (*Opp.* p.

37). This objection is unfounded. Respondent points to no argument in Complainant's Opening Brief or Proposed Findings of Fact that falls outside the Verified Second Amended Complaint. Nor does Respondent cite any authority suggesting that, even if such an argument existed, the Presiding Officer would lack authority to consider it.

To the contrary, each of Complainant's arguments arises directly from the allegations in the Verified Second Amended Complaint (Doc. 23, ¶¶ 4, 11–16, 18–29) and the evidence obtained through discovery. The Complaint alleged that Respondent's demurrage, detention, and related billing practices were unjust and unreasonable in violation of 46 U.S.C. § 41102(c). Complainant's Opening Brief and Proposed Findings of Fact merely develop those allegations in light of the record evidence—including Respondent's lack of written policies, deficient billing practices, and imposition of charges under conditions where compliance was impossible. These arguments do not introduce new claims; they demonstrate, with record support, the ways in which Respondent's practices were unjust and unreasonable under the Shipping Act.

Respondent further argues that even if its practices were found to violate § 41102(c), reparations could not be awarded absent a shipment-by-shipment showing of unreasonableness for each individual container or charge. (Opp. p. 38). But the record already provides ample basis for assessing reparations. All demurrage, detention, and per diem invoices have been introduced into evidence and corroborated by Respondent itself. (*See* Complainant's Exhibit 1, 12). The record also includes the non-negotiable seaway bills, evidence of partial waivers, and contemporaneous communications documenting Impact Products' and Safety Zone's repeated efforts—through Laufer—to retrieve the Relevant Containers despite systemic barriers. (*See* Complainant's Exhibit 4, 9, 13–14). Taken together, this evidence identifies the unreasonable charges Respondent

imposed and provides the Presiding Officer with more than sufficient grounds to award reparations.

Respondent next contends that Complainant failed to prove Respondent's practices were incapable of incentivizing cargo movement (Opp. 39)—an argument that merely repeats points already raised earlier in its Opposition (Opp. 36). Complainant has already addressed and refuted this contention in Section III.b.i of this Reply Brief and therefore does not revisit it here.

Respondent's contention that Complainant failed to prove its demurrage and detention policies were unreasonable is likewise misplaced. (Opp. pp. 41–42). Respondent principally argues that it maintained dispute-resolution policies through language in its *public* demurrage and detention tariffs. (*Id.*). This argument fails for two reasons. First, none of Respondent's demurrage tariffs prior to August 2022 contained any information explaining how customers could dispute charges, such as who to contact, applicable deadlines, required evidence, or criteria for granting waivers or reductions. (CX_002437–002669). Similarly, Respondent's detention tariffs from October 2019 through September 2022 also omitted any guidance on how to contest charges. (*Id.*). As a result, for the majority of the Relevant Period, Respondent's customers were deprived of the procedures and guidelines needed to pursue disputes and successfully request reductions/waivers, leaving them with no meaningful way to challenge demurrage or detention charges.

Second, public tariffs are meant to provide customers with transparent, accessible guidance for disputing charges. They are not internal policies identifying the circumstances under which Respondent would grant or deny relief. (*See, e.g.*, CX_002566). In fact, Respondent concedes that no such internal criteria exist, asserting only that its public tariffs serve as its policies and that it “follow(s) to the best of its ability the regulations and precedents of the FMC.” (Opp. p. 15). If true, that is deeply troubling: it would mean Respondent's waiver and reduction decisions were

made without any objective, written standards, leaving customers entirely subject to Respondent's unfettered discretion. This lack of clear, consistent, and enforceable procedures demonstrates why Respondent's demurrage and detention policies were unreasonable.

Respondent also argues that Complainant failed to show its billing practices violated the Shipping Act, asserting that invoicing is governed by separate statutory provisions and regulations not cited by Complainant and not in effect during the Relevant Period. (Opp. pp. 42–43). Rather than addressing Complainant's actual position, Respondent mischaracterizes it. Respondent ignores the Interpretive Rule's plain text, which provides that "[t]he Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of *policies* implementing demurrage and detention practices and regulations, including *dispute resolution policies and practices and regulations regarding demurrage and detention billing*. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements." 46 C.F.R. § 545.5(d) (emphasis added). Nor does Respondent address the record showing that many of its invoices provided no explanation of the basis for the charges and omitted essential dispute-resolution information, including instructions for challenges, points of contact, and documentation requirements. (CPFF ¶¶ 27–28, 70; CX_000032, 000034, 000036).³

Respondent's lack of internal dispute-resolution criteria, combined with invoices that provided no clear path for customers to contest charges, stripped shippers of transparency, predictability, and any meaningful recourse. These systemic deficiencies strike at the heart of what the Shipping Act demands and demonstrate that Respondent's demurrage and detention practices were unreasonable.

³ The Presiding Officer should likewise find that the missing demurrage invoices referenced in Complainant's Opening Brief (pp. 9–10) and Supplemental Brief (pp. 4–5) suffered from the same deficiencies.

Finally, Complainant addresses Respondent's claim that Complainant's request for yard storage damages is frivolous. Respondent argues that it never issued yard storage charges, and that its contractual obligations ended at delivery of the shipments to the U.S. ports/terminals. (Opp. 43). Relying on *TZ SSE Buyer v. Yang Ming Marine Transport Corp.*, Respondent contends that Complainant cannot show that Respondent itself imposed such charges. FMC Docket No. 24-10, 2025 WL 1083815 at *17 (Doc. 35, May 24, 2025).

This argument misses the mark. Section 41102(c) of the Shipping Act is not limited to demurrage and detention charges. Its plain text prohibits a common carrier from failing "to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with *receiving, handling, storing, or delivering* property." 46 U.S.C. § 41102(c) (emphasis added). Respondent's obligations thus extend beyond the mere point of discharge at the terminal.

The record confirms that for numerous shipments, Respondent was contractually obligated to deliver the Relevant Containers to inland rail yards, not simply the port. (*See, e.g.,* CX_001626, 001664–65: "Place of Delivery: Chicago, IL"). Laufer, Impact Products, Safety Zone, and the drayage companies they engaged to retrieve the Relevant Containers from rail yards were wholly dependent on Respondent to arrange and control when those containers actually arrived at the inland destinations. It was during this period of Respondent's control that yard storage charges accrued, as demonstrated in Complainant's Amended Damages Spreadsheet.

As Complainant has shown throughout its Opening and Reply Briefs, this was not a theoretical problem but a recurring reality: widespread congestion, equipment shortages, and Respondent's own failures in coordinating inland rail delivery left containers stranded for extended periods at rail facilities. Rather than ensuring timely movement inland or adopting reasonable

practices to mitigate the impact of such systemic disruptions, Respondent effectively abdicated responsibility, allowing containers to be deposited at the rail yards without meaningful oversight or mechanisms to prevent excessive storage charges.

This conduct falls squarely within the scope of § 41102(c). Respondent's duty was not discharged once a container touched the port, but extended to its full delivery obligation—receiving, handling, and delivering the containers to the rail yards under just and reasonable practices. By failing to establish or enforce such practices, Respondent created the very circumstances under which Complainant and its customers incurred yard storage charges, leaving them with no recourse but to bear costs arising from Respondent's unreasonable conduct.

C. Complainant Has Proven A Violation of 46 U.S.C. § 41104(a)(10).

Respondent argues that Complainant has not met its burden of showing that Respondent's assessment of demurrage and detention charges amounted to an unreasonable refusal to deal or negotiate under § 41104(a)(10). (Opp. p. 47). As Respondent correctly notes, a common carrier must not shut out any person for reasons having no relation to legitimate transportation-related factors." *See New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff'd sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003); *OJ Commerce*, 2023 WL 3969857, at *22. The Commission has likewise found that refusals to engage with good-faith attempts to negotiate constitute unreasonable refusals to deal. *See Canaveral Port Authority - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Docket No. 02-02, 29 S.R.R. 1436, 2003 WL 723336, at *16 (FMC Feb. 24, 2003).

Respondent's contention that no evidence shows Impact Products/Safety Zone or Laufer requested accommodations is flatly contradicted by the record. Respondent's own "waiver spreadsheet" documents partial waivers of detention charges for several Relevant Containers

(CSNU7785488, CSNU6608955, BSIU9552230, and BMOU4494813) (CX_002277–78). Those entries demonstrate that some of the charges related to the Relevant Containers were contested. Yet Respondent unreasonably refused to extend that relief to *all* charges on the same containers. The selective waiver of some but not all of the charges is itself evidence of an arbitrary refusal to deal.

Respondent attempts to deflect by asserting that it sometimes waives charges “on its own” initiative without any customer request. (Opp. pp. 48–49). Its only support for this claim, however, is the testimony of its corporate representative, who merely stated that Respondent did not bill detention charges on days when terminal gates were closed in 2020–2022 and that it “follow[ed] what the terminal [was] doing” with respect to demurrage billing. (CX_001374). This testimony does not establish that Respondent affirmatively or independently waived charges; at most, it reflects that Respondent mirrored terminal practices or refrained from billing when charges were plainly inapplicable.

Finally, Respondent’s assertion that such records do not exist because it conducted a “diligent search” (Opp. p. 49, fn. 27) is meaningless without any explanation of what that search entailed. In light of the waiver entries in Respondent’s own spreadsheet, the far more credible inference is not that no requests were ever made, but that Respondent disregarded, ignored, or failed to preserve Complainant’s and its agents’ good-faith waiver requests. That selective refusal to acknowledge and process such requests is precisely the type of unreasonable refusal to deal prohibited by § 41104(a)(10). The Presiding Officer should therefore find that Respondent’s conduct constituted an unreasonable refusal to deal in violation of § 41104(a)(10).

D. Complainant Has Proven Rights To Reparations.

Respondent argues that even if violations of the Shipping Act are established, reparations would be impermissible. (Opp. pp. 51–52). It cites *TZ SSE Buyer v. Yang Ming*, where reparations

were denied because the complainant failed to prove on a shipment-by-shipment basis that charges were incurred under circumstances beyond its control. That case is inapposite. Here, Complainant has provided sufficient record evidence to establish entitlement to reparations.

The Shipping Act provides that “[t]he Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation.” 46 U.S.C. § 41305(b). “Actual injury” expressly includes interest at commercial rates, compounded from the date of injury. § 41305(a). As the Commission has explained, damages must be the proximate result of the violation, and actual loss must be shown to a reasonable degree of certainty—though “absolute precision” is not required. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, FMC Docket No. 16-16, 2022 WL 2209421, at *3 (emphasis added).

Here, the record more than satisfies that standard. All relevant demurrage, detention, and per diem invoices have been introduced into evidence and corroborated by Respondent itself. (CX_000001, CX_000012). The record also includes non-negotiable seaway bills, evidence of partial waivers, and contemporaneous communications documenting Impact Products’ and Safety Zone’s repeated efforts—through Laufer and drayage providers—to retrieve the Relevant Containers despite systemic barriers. (CX_000004, CX_000009, CX_000013–14).

Taken together, this evidence establishes that Respondent’s unlawful practices directly caused Complainant to incur hundreds of thousands of dollars in charges. Those charges represent actual losses proximately caused by the violations of the Shipping Act. Accordingly, the Presiding Officer has both the authority and a sufficient evidentiary basis to order reparations.

IV. Conclusion

For all the reasons set forth in this Reply and Complainant’s Opening and Supplemental Brief, the Presiding Officer should find that Respondent’s actions constitute a violation of 46

U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(10), and hold Respondent accountable for the significant harm caused to Complainant.

Dated: August 25, 2025

Respectfully submitted,

CLARK HILL PLC

/s/ Timothy R. Herman

Timothy R. Herman

R. Kevin Williams

Michell Pacheco Soto

therman@clarkhill.com

kwilliams@clarkhill.com

mpacheco@clarkhill.com

130 E. Randolph Street, Suite 3900

Chicago, IL 60601

Counsel for Complainant TZ SSE Buyer, LLC

CERTIFICATE OF SERVICE

I certify that on August 25, 2025, a true and correct copy of the foregoing **Complainant's Reply Brief** was served by email on all counsel of record in accordance with 46 CFR Part 502.

Attorneys for Respondent:

JEFFREY/FENNEMAN LAW + STRATEGY, PLLC

Rebecca A. Fenneman

Eric C. Jeffrey

Kaya C. Massey

Nicholas L. Webb

RFenneman@JeffreyFenneman.com

EJeffrey@JeffreyFenneman.com

NWebb@JeffreyFenneman.com

KMassey@JeffreyFenneman.com

700 12th Street, NW Suite 700

Washington, DC 20005

202-904-2301

/s/ Michell Pacheco

Timothy R. Herman

R. Kevin Williams

Michell Pacheco Soto

therman@clarkhill.com

kwilliams@clarkhill.com

mpacheco@clarkhill.com

130 E. Randolph Street, Suite 3900

Chicago, IL 60601

Counsel for Complainant TZ SSE Buyer, LLC